



कर्मचारी भविष्य निधि संगठन
(अस एवं रोजगार मंत्रालय, भारत सरकार)
EMPLOYEES' PROVIDENT FUND ORGANISATION
(Ministry of Labour & Employment, Govt. of India)
मुख्य कार्यालय / Head Office
भविष्य निधि भवन, 14-भीकानजी कामा प्लेस, नई दिल्ली-110 066.
Bhavishya Nidhi Bhawan, 14, Bhikaji Cama Place, New Delhi - 110 066.

No: LC-3(1)06/Policy Matters/ 20971-80

Dated: 14/07/2018

To

All Addl. CPFCs (In-charge of Zones),

Sub: Proper representation of our cases in the courts – reg.

Sir,

It has been felt that many a times our cases at different judicial fora are not properly represented / defended. While there could be various reasons for such instances, in large number of cases we loose the case just because our advocate fail to bring to the notice of the courts the mandate of the EPF & MP Act, 1952 and our contentions are not understood in right spirits of the legislature.

In order to do away with this deficiency it is decided that all our counter replies / submissions before the courts should start with a Preamble bearing on the issue so that the courts may appreciate the subject matter in view of the mandate of the Act.

A sample introductory para / preamble of counter reply is being enclosed herewith for use in all our cases before the courts with suitable alterations depending upon the situation.

You are requested to hold conference with all our advocates on panel and impress upon them for the needful to be done. An action taken report in this regard may please be sent.

This issues with the approval of the CPFC.

Yours faithfully,

Encl.: As above.

(P. Sudhakar Babu)

Addl. Central PF Commissioner (Compliance)

Copy to:

Regional PF Commissioner (NDC) – for uploading on the website.



The Employees' Provident Fund & Misc. Provisions Act, 1952 (EPF & MP Act, 1952) is a legislation for providing social security to employees working in any establishment engaging 20 or more persons on any day. It provides for compulsory deduction of provident fund from employees and a contribution from the employer which is deposited in the worker's account in the EPF office.

Similarly, the Act also provides for providing insurance and pensionary benefits to the employees.

The provident fund and other contributions have to be deposited by the employer by the 15th of the next month in which the employee has worked in the establishment and the dues become payable to him, because the worker has already performed the employment upto last day of the previous month. The contributions have to be deposited by the employer/establishment only after beneficiary worker has already worked and thus earned this amount in terms of the contract of employment and the provisions of the Act.

As such, any effort by the employer to deny employees the legitimate dues which they have rightfully earned in terms of the provisions of the Act, need to be looked upon with suspicion, whatever the reason given by such employer/establishment.

In case of failure to deposit the legitimate dues of workers, the EPFO under section 7A of the Act initiate recovery action for the purpose of compelling the employer to deposit the legitimate dues of the worker. Through a quasi-judicial process, the dues of the workers under section 7A of the Act is assessed and the employer/establishment is asked to deposit the amount.

Subsequently, after deposit of the principal amount, action is initiated to levy penalty and damages under section 7Q and Section 14 of the Act to provide for the interest on the delayed payment by the employer and also act as deterrence for them.

It is often seen that employer/establishment resort to filing the petition in the Court once the recovery process has been started, which in any case start after default of the legitimate dues have been committed by such employer. The employers file such cases with a view to defeat the object of the social security legislation, which provides for a lumpsum



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payment to the employees on their retirement so that they can spend their retired life with some element of comfort.

The Hon'ble Supreme Court in the matter RPFC Vs. Shibu Metal Workers, 1964-65 (27) FJR 491 upheld that in construing the material provisions of the Act, if two views are reasonably possible, the Courts should prefer the view which helps the achievement and furtherance of the object. In the matter of State Vs. Girdhari Lal Bajaj, 1962 II LLJ46(Bom. DB), the Hon'ble Court observed that when there is doubt about their meaning, it is to be understood in the sense in which it best harmonises with the subject of the enactment and the object which the legislature has in view.

It is, therefore, prayed that the Hon'ble Court may kindly consider the purpose behind the legislation (EPF & MP Act, 1952) as enumerated above while considering the petition of the employer –

The parawise replies to the petition are as follows.